LEXTRIA RESEARCH

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INCORPORATION OF A PRIVATE LIMITED COMPANY AND POST-INCORPORATION PRIVATE PLACEMENT (INVESTOR ROUND)

A. Incorporation of a Private Limited Company

1. Name approval (SPICe+ Part A)

The process begins with reservation of the proposed company name from the Registrar of Companies (ROC) through SPICe+ Part A on the MCA portal. ROC examines the application for identical or undesirable names and possible trademark conflicts and may seek resubmission if required.

Realistic timeline: Including internal name discussion, drafting of objects, filing, queries, and resubmissions, name approval typically takes about 1–2 weeks in practice.

2. Structuring, KYC and pre-incorporation formalities

After name reservation, the capital and governance structure is settled and basic formalities are completed, including:

- Finalisation of state of registered office and main objects.
- Identification and confirmation of first directors and initial subscribers.
- Determination of authorised share capital and face value per share, with sufficient margin for the proposed investor issue.
- Collection of KYC documents (PAN, Aadhaar, address proofs) and confirmations from all promoters.
- Procurement of Digital Signature Certificates (DSC) for proposed directors and subscribers and allocation of DINs through SPICe+.

Realistic timeline: Back-and-forth with promoters for documents, clarifications, and internal approvals commonly takes about 1–2 weeks.

3. Drafting and filing of incorporation forms

With structure and data finalised, the incorporation e-forms are prepared:

- SPICe+ Part B (INC-32) with details of capital, subscribers, directors, and registered office.

- e-MoA (INC-33) and e-AoA (INC-34) capturing objects, share capital, and internal governance norms.
- AGILE-PRO-S (INC-35) for allied registrations (GST, EPFO, ESIC, Profession Tax where applicable) and bank account.
- INC-9 declarations for subscribers and first directors, generally auto-generated and then finalised.

These forms are digitally signed and filed on the MCA portal together with applicable filing fees and stamp duty.

***Realistic timeline*:** Drafting, internal review, client comments, and final filing normally require around 1–2 weeks.

4. ROC processing and Certificate of Incorporation

Following filing, ROC scrutinizes the forms and attachments and may raise resubmission requirements or seek clarifications before approval. Upon satisfaction, ROC issues a Certificate of Incorporation (CoI) with Corporate Identification Number (CIN), and PAN/TAN are allotted through the integrated process.

Realistic timeline: Allowing for one or more resubmissions and ROC workload, processing often takes about 2–3 weeks from initial filing in practical scenarios.

5. Post-incorporation basics

After the CoI is issued, initial operational steps are completed:

- Opening of a current account with a bank using CoI, PAN, and KYC documents.
- Intimate the permanent registered office to the ROC by filing **Form INC-22** within 30 days of incorporation, by attaching basic address proofs (utility bill, ownership/lease document and, if applicable, owner's NOC)
- Appoint the first statutory auditor in accordance with the Companies Act, 2013, by having the Board of Directors appoint an auditor within 30 days of incorporation; if the Board does not do so within this period, an auditor must be appointed by the members in a general meeting

within 90 days, and the appointment is then formalised through the prescribed ROC filing (ADT-1) within the applicable time.

- Credit of subscriber's capital into the bank account and filing of INC-20A (declaration of commencement of business) within 180 days of incorporation, after confirmation of receipt.
- Preparation, stamping, and issuance of share certificates to the initial subscribers within 2 months from the date of incorporation and updating of the Register of Members.

Realistic timeline: Bank account opening, coordination of subscriber fund transfers, and completion of commencement filing together typically take around 2–3 weeks after CoI, depending on the bank and client availability.

6. Overall realistic window – incorporation phase

Considering name approval, structuring and KYC, drafting and filing, ROC processing, bank account opening, and basic post-incorporation compliances, a practical conservative estimate is:

- Incorporation process end-to-end: approximately 6–8 weeks (about 1.5–2 months) from the first name discussion to a fully incorporated company with bank account and subscriber capital in place.

B. Private Placement of Shares After Incorporation (Investor Round)

1. Commercial and valuation framework

Once the company is incorporated and an operational bank account is in place, an investor round is structured to give the investor a 20% post-money stake through a fresh issue of shares.

Illustratively:

- Investment amount: 10,00,000 for 20% equity post-issue.
- Post-money valuation: 10,00,000 ÷ 20% = 50,00,000.
- Pre-money valuation: 50,00,000 – 10,00,000 = 40,00,000.

- If 5,000 existing shares represent 80%, total post-issue shares become 6,250, requiring 1,250 new shares for the investor.
- Implied price per share: 50,00,000 ÷ 6,250 = 800.
- With face value at 10, securities premium per share is 790, to be credited to the securities premium account in accordance with section 52.

A valuation report supporting this pricing is obtained from a registered valuer/merchant banker to comply with Companies Act norms and Income-tax provisions on Fair Market Value (section 56, Rule 11UA).

Realistic timeline: Considering data collection, projections, interactions with management, and issuance of the report, valuation and commercial term-sheet finalisation generally take about 2–3 weeks.

2. Legal implementation – private placement

The fresh issue is implemented as a private placement or preferential allotment under sections 42 and 62 of the Companies Act, 2013.indiafilings+1

Key elements include:

- Review of the Articles of Association to confirm that private placement and preferential allotment are permitted.
- Verification of authorised share capital and, where necessary, increase of authorised capital by appropriate resolutions and filing of SH-7 with ROC.
- Drafting of a share subscription or investment agreement reflecting pricing, rights, and conditions.

3. Approvals and offer process

The statutory sequence typically followed is

- **Board meeting to:**
  - Approve the issue terms (number of shares, price, and investor identity).
  - Approve the draft private placement offer letter (Form PAS-4).

- Convene a general meeting to seek shareholder approval.

- **General meeting to:**
  - Pass a special resolution under sections 42 and 62 authorising the private placement and specifying the investor, number of shares, and price.
  - Facilitate filing of MGT-14 with ROC within 30 days of passing the special resolution, where applicable.

- **Offer and receipt of funds:**
  - Issue of PAS-4 to the identified investor and preparation of PAS-5 as a record of the offer.
  - Receipt of application money (10,00,000) through banking channels into a designated bank account, ensuring compliance with private placement norms (identified offeree, no cash, limit on number of offerees, etc.).

Realistic timeline: Considering notice periods (even where consents shorten them in a private company), documentation cycles, and ROC processing:

- Legal and corporate approvals (board, general meeting, SH-7 if applicable, PAS-4, MGT-14) generally require about 3–4 weeks.

4. Allotment, filings, and share certificates

Following confirmation of funds received

- A board meeting is held to approve allotment of the new shares (for example, 1,250 shares at 800 per share) to the investor.
- PAS-3 (Return of Allotment) is filed with ROC within 30 days of allotment, providing details of the allottee and consideration.
- A share certificate for the investor's shares is prepared, stamped, and issued within 2 months from the date of allotment, and the Register of Members and internal cap table are updated to reflect the final shareholding pattern (for example, 80% founder and 20% investor).

Realistic timeline:

- From investor remittance through allotment and PAS-3 filing to issuance of share certificate, a practical period of about 2–3 weeks is

typical, although the statutory outer limit for the share certificate is 2 months from allotment.

5. Overall realistic window – investor phase

Allowing for valuation, documentation, corporate approvals, funds movement, ROC filings, and issuance of share certificates, the investor round via private placement normally spans approximately 4–6 weeks (around 1–1.5 months) under ordinary conditions, assuming timely responses from all parties and no unusual regulatory complications.

C. Combined Practical Timeline (Name Approval to Completed Investment)

On a conservative, ground-realistic basis

- Incorporation phase (from first name discussion to a functioning company with bank account and initial capital): approximately 6–8 weeks (about 1.5–2 months).
- Investor phase (private placement from structuring and valuation through to allotment and share certificate issuance): approximately 4–6 weeks (about 1–1.5 months).

Accordingly, from the initial name application to completion of the investor's private placement and handover of the share certificate, a realistic planning horizon is in the range of **10–12 weeks** (roughly **2.5–3 months**) in normal circumstances.

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Overall Timeline – From Name Approval to Completion of Private Placement

Phase / Step	Key Activities	Realistic Timeframe (Approx.)
1. Name Approval (SPICe+ Part A)	Draft objects, file name application, handle ROC queries/resubmissions	1–2 weeks
2. Structuring, KYC and Pre-Incorporation Formalities	Finalise capital/structure, collect KYC, obtain DSCs, set up for filing	1–2 weeks
3. Drafting and Filing Incorporation Forms	Prepare SPICe+ Part B, e-MoA, e-AoA, AGILE-PRO-S, INC-9 and file with ROC	1–2 weeks
4. ROC Processing and Certificate of Incorporation	ROC scrutiny, resubmissions if any, issuance of Certificate of Incorporation, PAN/TAN	2–3 weeks
5. Post-Incorporation Basics	Open bank account; credit subscriber capital; file INC-20A (commencement); file INC-22 (if registered office not final at incorporation); appoint first statutory auditor (Board within 30 days or shareholders within 90 days, with ADT-1 filing); issue subscriber share certificates; update Register of Members	2–3 weeks
Subtotal – Incorporation Phase	From first name filing to functioning company with bank account and initial capital	6–8 weeks (≈ 1.5–2 months)
6.Commercial Structuring and Valuation for Investor Round	Agree economics (20% for 10 lakh etc.), obtain valuation report, settle term sheet	2–3 weeks
7. Legal Preparations for Private Placement	Review Articles/authorised capital, draft SSA, resolutions, SH-7 (if needed), PAS-4, GM notice	3–4 weeks (overlaps partly with 6)
8. Approvals and Offer	Hold board and general meetings, pass special resolution, file MGT-14 (if applicable), issue PAS-4	Within the 3–4 weeks above
9. Funds Receipt and Allotment	Investor remits funds, board approves allotment, file PAS-3 (Return of Allotment)	2–3 weeks from offer/funding
10. Share Certificate and Registers	Prepare and issue investor's share certificate, update Register of Members and cap table	Within 2 months of allotment (practically 2–3 weeks)
Subtotal – Investor /	From start of valuation/structuring	4–6 weeks (≈ 1–1.5

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Private Placement Phase	**to issue of investor share certificate**	**months)**
Total End-to-End Timeline	**From first name application to completion of private placement and investor share certificate issuance**	**10–12 weeks (≈ 2.5–3 months)**

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